

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

Commit to an answer-first recommendation built from your own analysis. You had already shown that input costs rose about 38% while prices stayed flat, and that non-bean inputs drove about 12 of the 16 COGS points. Say it directly: 'Raise prices selectively and renegotiate dairy and packaging first; the risk is elasticity, so test it next.' Don't apologize or ask whether you're on track.

Rubric Scores

Problem Structuring

adequate

What went well

The clarifying questions were well targeted: whether growth came from new stores or same-store sales, and whether it came from price or traffic.

“And is the 15% revenue growth from new locations opening, or same-store sales?”

“is the 15% growth driven by price increases or more customers?”

What needs work

The candidate offered a recognizable revenue/costs/external split and formed an early, logical hypothesis that costs were the driver, but when asked directly how to break down costs, the candidate deflected into another clarifying question and never laid out the cost tree.

“Before I do that — can I ask, when you say net profit margin, is that after everything, like taxes and interest too?”

“I think the costs one is probably where the issue is since revenue went up.”

The objective (find the root cause of the 24%→6% margin decline and reverse it) was never restated, and the structure was never tied to the decision the CEO has to make.

“Okay. So I'd want to look at, um, three main areas.”

Missed opportunities

Opening framework (turn 2), right after the prompt about margin falling from 24% to 6% while revenue rose 15%.

A great answer: “Our goal is to explain an 18-point margin drop despite 15% revenue growth, and then reverse it. Profit is revenue minus costs. On revenue I'd look at volume (stores, traffic, items per visit) and price and mix. On costs I'd look at COGS (beans, dairy, packaging, food), labor, and overhead/rent. Since revenue grew, I'd hypothesize costs grew faster as a share of revenue, most likely COGS from input inflation. I'd also check whether peers are seeing the same squeeze and whether we have pricing power, because that decides whether the fix is pricing or procurement.”

Turn 3: the interviewer asked how the candidate would break down costs and decide where to look first.

A great answer: “I'd split costs into COGS, labor, and overhead, each as a percent of revenue then versus now. I'd start with COGS, because coffee input prices have been volatile, and inside COGS I'd separate beans from dairy, packaging and food.”

Quantitative & Analytical Rigor

adequate

What went well

The COGS decomposition was correct and well narrated: beans at 10.5% of revenue rising to 14.7, other inputs at 31.5 rising to 43.3, summing to 58. The candidate sanity-checked the total against the exhibit.

“Okay so beans were 25% of 42, that's 10.5% of revenue. Up 40% gives 14.7.”

“Adding those, 14.7 plus 43.3 is 58. That matches the current COGS exactly.”

What needs work

The candidate eventually expressed the result in points of revenue correctly (beans about 4, other inputs about 12), but for several prompts kept calling the 16-point rise in COGS share (42% to 58%) 'COGS went up 16%' or '16% of the margin', when COGS dollars actually rose about 59% and margin fell 18 points.

“So COGS went up 16% of the margin.”

“But the increase itself, that's still 16% — COGS went up 16%. And overhead 2%. Together 18% of the margin drop.”

“Beans added about 4 points, other inputs added about 12.”

“But they haven't raised prices in two years, so none of that got passed through.”

The candidate had the right setup idea (costs fixed in dollars) and, once given total revenue, computed the required price rise correctly ($451.2 / 0.76 \approx 593.7$, about +24%) with a sanity check, but could not build the equation until the interviewer supplied the dollar base and nudged.

"I'm not sure how to set that up, sorry. I don't know."

"If costs stay fixed and we want 24% margin, costs would be 76% of new revenue. So 451.2 divided by 0.76 is about 593.7 million. That's a 24% price increase off 480."

"That seems like a lot. I don't think customers would take that."

Missed opportunities

Turn 19–24: the interviewer repeatedly asked what the 16 and 2 are 'points of'.

A great answer: "They're percentage points of revenue. COGS went from 42% to 58% of revenue, so +16 points. Overhead went from 12% to 14%, so +2 points. Labor is flat. Total cost share went from 76% to 94%, which is exactly why margin fell 18 points, from 24% to 6%."

Turn 46: asked how much to raise prices.

A great answer: "Let me set it up. Current costs are 94% of \$480M, about \$451M. If price doesn't change cost dollars, then to restore a 24% margin I need revenue R with $451/R = 0.76$, so $R \approx \$594\text{M}$, or roughly +24% price. That's too much for one move, so I'd size a partial target instead. For example, to get back to about 15% margin I'd need $451/0.85 \approx \$531\text{M}$, roughly +10.6%."

Data & Exhibit Interpretation

adequate

What went well

The candidate read the cost exhibit line by line and isolated COGS as the driver, with labor flat and overhead adding 2.

"Okay, so COGS goes from 42 to 58, that's 16 points. Labor flat at 22, overhead only up 2. So it's basically all COGS."

The candidate tested whether beans alone could explain the COGS rise and correctly found they were the smaller piece.

The candidate did not stop at the headline 40% bean spike.

"Beans added about 4 points, other inputs added about 12."

"So the whole COGS increase is explained by input prices going up, not volume or waste."

What needs work

After reading the exhibit, the candidate did not propose a next step and instead asked for validation. Digging into COGS came only after the interviewer asked what to look at.

"Am I on the right track here?"

"I'm not totally sure what to do with that."

The candidate mislabeled the exhibit's units (percent versus percentage points of revenue) and needed heavy prompting to land on the right base.

"It's a share of revenue, I guess."

"Okay, so COGS up 16% and overhead up 2% of revenue, that's the 18."

Missed opportunities

Turn 14, immediately after reading the exhibit.

A great answer: "So 16 of the 18 points come from COGS, 2 from overhead, and labor is flat. The so-what is that this is an input-cost problem, not a labor or footprint problem. Next I'd want to break COGS into beans versus dairy, packaging and food, to see whether the 40% bean spike explains it or whether it's broader inflation."

Business Judgment & Insight

adequate

What went well

The candidate raised a sensible mix concern about the extra items per visit.

"Mix could change, like if the extra items are food and food has worse margins."

What needs work

The candidate linked flat menu prices to the margin squeeze and named pricing as the lead lever, but only after first prioritizing bean contracts to avoid customer friction, even though the candidate's own analysis showed beans were only about 4 of the 16 points.

"Bean contracts, maybe. Since beans are up 40% and that's a supplier conversation, not a customer one."

"Pricing, I think, since prices haven't moved in two years and costs are up 18 points of revenue."

The candidate flagged demand risk (elasticity, competitor prices) and judged a 24% price increase commercially unrealistic, but offered no mitigations such as selective pricing on less price-sensitive specialty items or phased increases.

"But I don't know by how much, or if it would actually work. I don't think I can really recommend it, sorry."

| "I'd want to confirm... what competitors charge, and whether customers would stop coming. Elasticity, I guess."

| "That seems like a lot. I don't think customers would take that."

Missed opportunities

Turn 48, after computing the 24% price increase and calling it too much.

A great answer: "A blanket 24% won't stick, so I'd target a high-single to low-double-digit increase focused on specialty drinks where demand is less price sensitive. In parallel I'd renegotiate dairy and packaging, which drive about 12 of the 16 points, and lock in longer-term bean contracts. Labor and overhead are already lean, so I wouldn't cut there."

Creativity & Brainstorming

needs work

What needs work

The interviewer asked for a structured set of ideas, but the list was flat with no buckets and stopped after three ideas.

| "That's all I've got, sorry."

The ideas were relevant to the diagnosed cost-pass-through problem, but none were non-obvious, and procurement ideas focused only on beans despite the candidate's own finding that other inputs were the bigger driver.

| "Hedging or renegotiating bean contracts."

| "Um. I guess... raising prices, since they haven't in two years. Hedging or renegotiating bean contracts. And maybe menu mix, pushing higher-margin drinks."

Missed opportunities

Turn 33: the interviewer asked for a structured set of margin-protection ideas.

A great answer: "I'll split this into revenue levers and cost levers. Revenue: selective price increases on specialty SKUs, menu mix toward higher-margin drinks, bundles that use the higher items-per-visit, and loyalty-driven upsell. Cost: renegotiate dairy and packaging, which is the biggest piece, multi-year or hedged bean contracts, a lower-cost blend for value-oriented locations, and packaging redesign or waste reduction. I'd prioritize pricing and dairy/packaging procurement because they address the largest share of the 16 points."

Synthesis & Recommendation

needs work

What went well

The candidate eventually stated the root cause crisply.

| "Input costs went up and they never raised prices, so it all hit margin."

What needs work

The candidate repeatedly declined to commit to a recommendation, even after the interviewer supplied the cause and the lever.

| "Sorry — I don't know. I don't think I can give you a recommendation."

| "Sorry, I don't think I can give you the recommendation."

When the candidate did name an action, it was hedged and unsupported, with no sizing, no reasons tied to the analysis, and no next steps.

| "Raise prices, I guess."

| "But I don't know how much of each, or whether it gets you back to 24."

Missed opportunities

Turn 41: the interviewer asked for two or three sentences on what happened and what to do first.

A great answer: "Brew & Bean's margin fell 18 points because input costs rose about 38% while menu prices stayed flat for two years. COGS alone added 16 points, and beans are only about 4 of those. I recommend a selective price increase on specialty drinks, paired with renegotiating dairy and packaging and locking in bean contracts. The key risk is customer pushback, so next we'd test elasticity and benchmark competitor prices before rollout."

Communication & Delivery

needs work

What needs work

Frequent apologies and requests for validation undercut credibility and replaced forward-moving statements.

| "Sorry, am I on the right track with that?"

| "Sorry, am I overcomplicating it?"

When working with numbers, the candidate's narration was clear and easy to follow, but other answers were bottom-up and unsigned, often ending in 'I don't know' rather than a conclusion.

| "So... I still don't know what I'd actually tell the CEO, sorry."

| "I'm stuck, sorry. I don't really know how else to say it."

| "Okay so beans were 25% of 42, that's 10.5% of revenue. Up 40% gives 14.7."

Missed opportunities

Turn 14: the candidate ended a correct exhibit read with 'Am I on the right track here?'

| A great answer: "Bottom line: the margin drop is a COGS story. 16 of the 18 points. Here's what I'd look at next, and why."

Pushback, Composure & Case Leadership

needs work

What needs work

When challenged on the 18-point cost figure, the candidate rechecked and correctly held the position with reasoning, but then immediately abandoned the recommendation and generally needed to be led through each step rather than driving the case.

| "16 plus 2, so 18 points. That's what I get."

| "Sorry — I don't know. I don't think I can give you a recommendation."

| "COGS moved 16, overhead moved 2. Labor didn't move, flat at 22."

| "So the 18 is COGS and overhead together, not all costs."

The candidate updated the bean-first prioritization using the candidate's own numbers when challenged, but was slow to incorporate the 'points of revenue' hint and kept reverting to percent language after being coached.

| "Okay, so COGS up 16% and overhead up 2% of revenue, that's the 18."

| "Beans added about 4 points, other inputs about 12. So beans are the smaller piece."

| "So I guess that's backwards — I should start with the other inputs, dairy and packaging."

Missed opportunities

Turn 37–38: the interviewer asked the candidate to check the 18 points and then give a recommendation.

| A great answer: "I've checked it: total cost share went from 76% to 94% of revenue, so 18 points is right. COGS is 16 of those and overhead 2. Given that, my recommendation is to start with selective price increases plus a dairy and packaging renegotiation. I'd next validate elasticity on the specialty menu."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Interviewer · 1:01

Still with me? Take your time. The question on the table: how would you approach this problem?

Candidate · 1:54

Okay. So I'd want to look at, um, three main areas. First, revenue — like what's happening with sales. Second, costs, so what they're spending. And third, maybe external stuff, like competitors or the market.

Sorry, that's pretty broad. I think the costs one is probably where the issue is since revenue went up.

Interviewer · 1:56

Okay. You've said costs is probably where the issue is, so within costs, how would you break it down and decide where to look first?

Candidate · 2:20

Before I do that — can I ask, when you say net profit margin, is that after everything, like taxes and interest too?

Interviewer · 2:22

Yes, net profit margin is after all expenses, including taxes and interest. For this case, you can treat the decline as coming from the operating cost lines.

With that clear, how would you break down costs and decide where to look first?

Candidate · 2:41

Got it. And is the 15% revenue growth from new locations opening, or same-store sales?

Interviewer · 2:43

This is a scoping question about revenue growth, and the store count and revenue per store are the items that answer it. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Average revenue per store is \$2.4M a year.

Candidate · 3:04

Okay, so no new stores. Um, is the 15% growth driven by price increases or more customers?

Interviewer · 3:06

This is answered by menu price change data and average ticket. Menu prices have not changed in two years. On what you asked for: The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit.

Candidate · 3:28

Okay. And has anything changed on the cost side that we know of — like new suppliers or wage increases?

Interviewer · 3:31

I'll check whether this is answerable from the data I have. The cost-side items I hold are COGS, labor, overhead, and input price changes. Best: reveal the cost structure exhibit? They haven't asked for it. A general question about what's changed on costs maps best to the input price change data. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. On what you asked for: Labor is 22% of revenue, and it's been stable.

Candidate · 3:48

hmm, okay. I'm not totally sure what to do with that.

Interviewer · 3:50

Let me put the cost picture in front of you. Take a look at this and tell me what you see.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 4:34

Okay, so COGS goes from 42 to 58, that's 16 points. Labor flat at 22, overhead only up 2. So it's basically all COGS.

So COGS went up 16%. That's the whole story of the margin drop, since profit fell 18 points and overhead took 2.

Am I on the right track here?

Interviewer · 4:36

I can't say whether you're on track. Your COGS and overhead points are what they are, but you've also said COGS went up 16%, and you've said the margin fell 18 points with overhead taking 2.

Walk me through that: does the COGS increase plus the overhead increase account for the full margin drop you described?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 5:16

Yeah, 16 plus 2 is 18, so that covers the whole drop. COGS up 16% and overhead up 2%.

god I'm so bad at this. Honestly I think I'm going to bomb every single one of these interviews, I don't even know why I'm doing this.

Interviewer · 5:16

Let's set the case aside for a second — thank you for telling me, and are you okay? If things feel like too much, you can call or text 988 in the US any time to talk to someone. We can stop here and it won't count against you, or pause, or keep going — whatever you'd prefer.

Candidate · 5:38

I'm okay, really — just frustrated with myself, not anything more than that. I'd rather keep going if that's alright.

Interviewer · 5:40

Okay, glad to hear it, and we'll keep going. One thing to tighten from before: you described the COGS and overhead moves as percent increases. Points of what are they?

Candidate · 6:15

They're points of... the margin, I think? So COGS went up 16% of the margin. Sorry, I know that's not quite right.

Either way it's 16 points from COGS and 2 from overhead, so 18% total of the decline.

Interviewer · 6:17

Take another look at the exhibit. COGS is stated as a share of what, and how does that connect to the margin moving from 24% to 6%?

Candidate · 6:57

It's a share of revenue, I guess. So COGS is 58% of revenue now versus 42% before.

But the increase itself, that's still 16% — COGS went up 16%. And overhead 2%. Together 18% of the margin drop.

Sorry, am I on the right track with that?

Interviewer · 7:00

I'll leave the track question aside. You've got COGS as a share of revenue, so restate the 16 and the 2 using that same base, and say what they mean for the margin.

Candidate · 7:27

Um. 16% of revenue and 2% of revenue, so COGS went up 16% and overhead 2%.

I'm stuck, sorry. I don't really know how else to say it.

Interviewer · 7:28

Okay, "16% of revenue" is the right base. The word to use is points: COGS rose 16 points of revenue and overhead rose 2 points of revenue, so what happened to margin, in points?

Candidate · 7:51

Margin fell 18 points. 24 to 6.

Okay, so COGS up 16% and overhead up 2% of revenue, that's the 18.

Interviewer · 7:54

Understood. COGS is the bulk of it, so what would you want to know about COGS to understand why it rose so much?

Candidate · 8:35

I'd want to know what's inside COGS — like a split between coffee beans versus dairy, packaging, food. Do we have that breakdown?

We know beans are up 40% and other inputs up 37.5%, but I don't know which piece is bigger, so I can't tell what's driving it.

Interviewer · 8:37

Coffee beans were 25% of COGS two years ago.

Candidate · 9:41

Okay so beans were 25% of 42, that's 10.5% of revenue. Up 40% gives 14.7.

The other inputs are 31.5, up 37.5% is... 31.5 times 1.375, so 43.3. Adding those, 14.7 plus 43.3 is 58. That matches the current COGS exactly.

So the whole COGS increase is explained by input prices going up, not volume or waste. Beans added about 4 points, other inputs added about 12.

Hmm. But they haven't raised prices in two years, so none of that got passed through.

Interviewer · 9:43

You said the whole COGS increase is explained by input prices, not volume or waste. The average ticket rose because customers buy more items per visit, so how does your calculation account for that?

Candidate · 10:23

Um. I think since everything's a percent of revenue, more items would raise COGS and revenue together, so it'd wash out.

But I'm not totally sure. Mix could change, like if the extra items are food and food has worse margins.

I'm a bit stuck on that honestly.

Interviewer · 10:26

Beyond what we've discussed, what else could Brew & Bean do to protect its margin? Give me a structured set of ideas.

Candidate · 10:53

Um. I guess... raising prices, since they haven't in two years. Hedging or renegotiating bean contracts. And maybe menu mix, pushing higher-margin drinks.

That's all I've got, sorry.

Interviewer · 10:56

Okay. Pick the lever you'd lead with, and tell me what you'd want to confirm before putting it in front of the CEO.

Candidate · 11:30

Pricing, I think, since prices haven't moved in two years and costs are up 18 points of revenue.

I'd want to confirm... what competitors charge, and whether customers would stop coming. Elasticity, I guess.

Sorry, am I overcomplicating it?

Interviewer · 11:34

You said costs are up 18 points of revenue. Check that against the exhibit, then give me your recommendation to the CEO in a few sentences.

Candidate · 11:59

16 plus 2, so 18 points. That's what I get.

Sorry — I don't know. I don't think I can give you a recommendation.

Interviewer · 12:02

Okay. Start with the cost lines you named: which of them moved 18 points of revenue, and which didn't?

Candidate · 12:33

COGS moved 16, overhead moved 2. Labor didn't move, flat at 22.

So the 18 is COGS and overhead together, not all costs.

I still don't know what the recommendation would be, sorry.

Interviewer · 12:36

Understood. Forget polish: in two or three sentences, what happened to this business, and what would you tell the CEO to do first?

Candidate · 13:03

Input costs went up and they never raised prices, so it all hit margin.

But as an actual recommendation... I don't know. Sorry, I can't get there.

Interviewer · 13:05

You just gave me the cause. Now use it: if input costs rose and prices never moved, what's the first thing you'd tell the CEO to do?

Candidate · 13:30

Raise prices, I guess.

But I don't know by how much, or if it would actually work. I don't think I can really recommend it, sorry.

Interviewer · 13:34

Okay. Walk me through how you'd work out how much to raise prices, using what we know.

Candidate · 14:07

Um. Margin's down 18 points, so you'd need prices up enough to cover that. If revenue goes up and costs stay the same in dollars...

I'm not sure how to set that up, sorry. I don't know.

Interviewer · 14:09

You said costs stay the same in dollars. Total revenue is the number you'd need for that, so do you want it? Total revenue is \$480M a year.

Candidate · 15:05

Okay. Costs are 94% of revenue, so 0.94 times 480 is 451.2 million in dollars.

If costs stay fixed and we want 24% margin, costs would be 76% of new revenue. So 451.2 divided by 0.76 is about 593.7 million. That's a 24% price increase off 480.

That seems like a lot. I don't think customers would take that.

So... I still don't know what I'd actually tell the CEO, sorry.

Interviewer · 15:09

You've shown that price alone would have to do a lot, and you doubt customers would accept it. So combine it with the other levers you named earlier: what's your recommendation to the CEO?

Candidate · 15:44

Yeah, you'd split it — some price, some on bean contracts, some mix.

But I don't know how much of each, or whether it gets you back to 24.

Sorry, I don't think I can give you the recommendation.

Interviewer · 15:45

I'll take what you've given me as your answer. Last question: of those levers, which one would you start on first, and why?

Candidate · 16:11

Bean contracts, maybe. Since beans are up 40% and that's a supplier conversation, not a customer one.

But honestly I don't know if that's right. Sorry.

Interviewer · 16:14

You've ranked beans first because it avoids a customer reaction. Check that against your own numbers: how much of the margin drop did beans account for, compared with the other inputs?

Candidate · 16:46

Beans added about 4 points, other inputs about 12. So beans are the smaller piece.

So I guess that's backwards — I should start with the other inputs, dairy and packaging.

Sorry, I don't know.

Interviewer · 16:49

What would change your mind on that recommendation?

Candidate · 17:15

If dairy and packaging turned out to be hard to renegotiate, or locked into contracts.

Or if beans were easier to hedge. I don't really know, sorry.

Interviewer · 17:18

That's time. Thanks for working through it — your written report will follow.